Executive Summary

Project Overview

The consumer complaints analysis project focuses on analyzing consumer complaint data to identify trends, understand customer concerns, evaluate financial product performance and assess company response patterns.

The project uses a dataset containing 62,516 complaint records and 12 columns, covering May 2017 to August 2023. The dataset includes information such as complaint submission and received dates, financial products, sub-products, reported issues, sub-issues, company responses and timely response indicators.

Using Microsoft Power BI, the data was prepared, cleaned, modelled and analyzed to develop an interactive dashboard that provides insights into complaint volumes, frequently reported issues, product-level complaint distribution, company response categories and complaint-forwarding intervals.

The analysis also examines annual and monthly complaint trends, percentage contributions of financial products, timely response performance and year-over-year changes in complaint volumes.

The primary objective is to transform raw consumer complaint records into meaningful business insights that can help financial institutions identify recurring customer problems, monitor complaint management performance and make informed decisions to improve service delivery and customer experience.

The project concludes with actionable recommendations focused on improving financial product services, strengthening complaint resolution processes, monitoring unresolved complaints and addressing recurring customer concerns.

Key Findings

1. Checking and savings accounts generate the highest complaint volume
   Checking and savings accounts recorded 24,814 complaints, representing 39.69% of all complaints. Credit cards and prepaid cards followed with 16,197 complaints (25.91%). Together, these two financial product categories account for approximately 65.60% of all complaints.
   Recommendation:

- Financial institutions should prioritise improvements in checking, savings and credit card services.
- Review account management processes, transaction handling and customer support procedures.

- Introduce proactive monitoring to identify recurring customer problems.
- Investigate the causes of complaints involving deposits, withdrawals and unauthorised transactions.

2. Account management is the most frequently reported issue
   Managing an account recorded 15,109 complaints, representing approximately 24.17% of total complaints.
   Recommendation:
- Improve account management processes and make account-related services easier to access.
- Strengthen transaction monitoring and account verification procedures.
- Improve the accuracy of credit reporting information.
- Provide clearer explanations of account charges, statements and payment processes.
- Establish efficient complaint resolution channels for recurring issues.

3. Complaint volumes generally increased between 2017 and 2022
   2022 recorded the highest full-year complaint volume, with 12,953 complaints.
   Recommendation:
   - Investigate the factors contributing to the consistent increase in complaints.
   - Monitor complaint trends regularly to identify emerging problems.
   - Financial institutions should use historical complaint patterns to anticipate customer service challenges.
   - Allocate adequate customer support resources during periods of increased complaint activity.
   Note: 2023 recorded 9,131 complaints up to August 28. Its apparent 29.51% decline compared with 2022 is not a valid full-year comparison.

4. July 2023 recorded the highest monthly complaint volume
   July 2023 recorded 1,749 complaints, the highest monthly volume in the dataset.
   February 2019 recorded the lowest monthly volume, with 356 complaints.
   This suggests that complaint volumes fluctuate considerably across reporting periods.
   Recommendation:
   - Investigate the circumstances behind the July 2023 increase.
   - Monitor monthly complaint patterns to identify unusual spikes.
   - Ensure customer service teams have sufficient capacity to handle periods of increased demand.

- Introduce early-warning systems to detect sudden increases in specific complaint categories.

5. Most complaints were closed with an explanation

   Approximately 65.65% of complaints were closed with an explanation, making it the most common response category.
   Recommendation:
   - Review whether explanations provided to customers adequately address their concerns.
   - Identify recurring complaints that require corrective action rather than explanations alone.
   - Monitor complaints resolved through monetary and non-monetary relief to identify recurring service failures.
   - Assess customer satisfaction after complaints have been closed.
   Importantly, a complaint being closed with an explanation does not automatically mean the customer was satisfied.

Overall Recommendations

1. Improve customer experience: Prioritize the financial products and service areas generating the highest complaint volumes.

2. Strengthen complaint management: Establish a structured system for tracking, assigning, resolving and escalating complaints.

3. Use data-driven monitoring: Develop regular reports to monitor complaint trends, product performance and company response patterns.

4. Address recurring problems: Investigate the root causes of repeated complaints instead of relying solely on explanations or individual resolutions.